MODEL QUESTIONS

Part-A

Multiple Choice Questions

1. The average propensity to consume is measured by

   a) C/Y
   b) CxY
   c) Y/C
   d) C+Y



2. An increase in the marginal propensity to consume will:

   a) Lead to consumption function becoming steeper
   b) Shift the consumption function upwards
   c) Shift the consumption function downwards
   d) Shift savings function upwards

3. If the Keynesian consumption function is C=10+0.8 Y then, if disposable income is Rs 1000, what is amount of total consumption?

   a) ₹ 0.8
   b) ₹ 800
   c) ₹ 810
   d) ₹ 0.81

4. If the Keynesian consumption function is C=10+0.8Y then, when disposable income is Rs 100, what is the marginal propensity to consume?

   a) ₹ 0.8
   b) ₹ 800
   c) ₹ 810
   d) ₹ 0.81

5. If the Keynesian consumption function is C=10+0.8 Y then, and disposable income is ₹100, what is the average propensity to consume?

   a) ₹ 0.8
   b) ₹ 800
   c) ₹ 810
   d) ₹0.9

6. As national income increases

   a) The APC falls and gets nearer in value to the MPC.
   b) The APC increases and diverges in value from the MPC.
   c) The APC stays constant
   d) The APC always approaches infinity.

7. As increase in consumption at any given level of income is likely to lead

   a) Higher aggregate demand
   b) An increase in exports
   c)A fall in taxation revenue
   d) A decrease in import spending

8. Lower interest rates are likely to :

   a) Decrease in consumption
   b) increase cost of borrowing
   c) Encourage saving
   d) increase borrowing and spending

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